

or dramatic political or regulatory change. People tend to assume that tomorrow will look very much like today, and most of the time, it does. But every once in a while, conditions change abruptly and conventional wisdom is turned on its head. In those times, many investors don't know what to do and may become paralyzed; they need a guiding philosophy, and Graham and Dodd offer an excellent one. "We have striven throughout," they write, "to guard the student against overemphasis upon the superficial and the temporary," which is "at once the delusion and the nemesis of the world of finance." (First Edition Preface) It is during periods of tumult and upheaval that a value-investing philosophy is especially beneficial.

FLUCTUATING SHARE PRICES ARE A MAJOR DRIVER OF OPPORTUNITY

Graham and Dodd remind us that stocks represent fractional ownership interests in a business and bonds are senior claims on that business. The most important element of an investor's return from an equity investment is the cash flows generated by the underlying business itself. When McDonald's sells billions of hamburgers, the owner of 1% of the company's shares sells tens of millions. The value of every business is thus inexorably related to its current and future financial performance.

In valuing businesses, markets will often be inefficient, causing securities prices to under- or overshoot. Emotional overreactions can, for a time, overpower fundamentals. When prices overshoot, euphoria is eventually overtaken by reality, causing them to retrench. When they undershoot, investors can take advantage of such mispricings to pick up a fractional interest in a business at bargain levels. Over the long run, as current uncertainties and temporary business difficulties are resolved, share prices tend to gravitate toward the value of the underlying businesses—and bargain-hunting value investors enjoy a profit.